

THE SESSION · POST-CLOSE READ

The Cost of Money

The 10-year Treasury yield reached 5.02%, its highest since 2007, as Brent climbed toward \$109 with Saudi Arabia's East-West pipeline still idle and a quarter-point Fed hike a day away; the Senate's failed CLARITY Act vote sent bitcoin and the crypto-adjacent names lower. The Dividend Strategy rose and beat both marks; the Growth Portfolio fell less than IUSG.

S&P 500 ▼ 0.45%

NASDAQ ▼ 0.78%

DOW ▼ 0.63%

VIX 17.4

BRENT ▲ \$109

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.13%

1-DAY

FCI		+0.13%
DVY		-1.06%
SPY		-0.45%

YTD +18.97% vs DVY +15.61% · SPY +11.66%

GROWTH PORTFOLIO

▲ BEAT IUSG

-0.51%

1-DAY

FCI		-0.51%
IUSG		-0.64%

YTD +19.73% vs IUSG +11.91%

THE SESSION

Monday's argument was about the pace of artificial intelligence; Tuesday's was about the price of money. The 10-year Treasury yield rose as far as 5.02%, above its 2023 peak and the highest level since July 2007, as a global bond sell-off extended on three reinforcing pressures: energy prices, heavy sovereign and corporate issuance, and inflation that has not cooled. Brent climbed about 3% toward \$109 with Saudi Arabia's East-West pipeline still offline and Kpler counting just four commodity vessels through the Strait of Hormuz on Monday. Futures continue to price a quarter-point increase from the 3.50–3.75% target range at Wednesday's FOMC decision at roughly 90%, which would be the first hike since July 2023. The S&P 500 slipped 0.45%, the Nasdaq 0.78%, and the Dow 0.63%; the VIX edged up to 17.4. Yesterday's casualties were today's leaders — the semiconductor group recovered part of Monday's drawdown, led by the handset and RF names as Skyworks and Qorvo rallied on merger progress — while the money that had crowded into software on the AI-pacing headline gave a little back.

For the Dividend Strategy, the session was a useful stress test. DVY, a fund weighted toward utilities and other yield proxies, fell 1.06% — a 5% Treasury is direct competition for a 3–4% dividend, and the market marked the bond substitutes accordingly. The sleeve rose 0.13% and beat DVY by 1.19 points and SPY by 0.58, because most of what it owns are dividend growers rather than yield instruments. Qualcomm gained 4.25% as StoneX reiterated its Buy on the data-center diversification story, Quest Diagnostics rose 3.95% to a fresh 52-week high after telling the Morgan Stanley conference it had lifted full-year revenue-growth guidance to 8.3–9.2%, Nutrien added 2.31%, and Steel Dynamics 2.00%. The rate-sensitive corner of the book behaved as expected — Atmos -1.12%, Constellation -1.77%, NextEra -0.69% — and S&P Global gave back 1.43% of Monday's gain. Analog Devices held flat at +0.09% after Monday's slide. In the Growth Portfolio, Chevron rose 2.62% to a new 52-week high on crude, AMD 2.19% on a Piper Sandler reiteration, Marvell 1.32%, and Fortinet 1.29%.

Higher rates change what an investor is paid to wait; they do not change what a well-run business earns. We own the second thing.

The Growth Portfolio finished down 0.51% against IUSG's -0.64%, a 0.12-point beat, and the gap between its chip rebound and its final print is explained in Washington. The Senate's cloture motion on the Digital Asset Market Clarity Act failed Tuesday afternoon, more than 40 senators voting no against a 60-vote threshold, which by most accounts ends market-structure legislation for 2026. Bitcoin slid about 4% toward \$76,000, and the sleeve's crypto-adjacent holdings followed: IBIT -3.64%, ETHA -5.06%, Hut 8 -4.43%, Marathon -2.26%, Robinhood -3.39%, SoFi -3.29%, Pagaya -2.09%. That cluster cost the

sleeve more than the semiconductor recovery returned. Atour fell 3.57% with no news, ONEOK slipped 2.32% despite firmer crude, and the power pair split — Vistra +0.59%, Constellation -1.77%. Wednesday resolves the week: the decision at 2 p.m., an updated dot plot, and Chair Warsh's press conference, followed by the Bank of Japan on Thursday. The hike is priced; the path signaled after it is not. On the year, the Dividend Strategy stands at +18.97% against DVY's +15.61%, a +3.36-point spread, and the Growth Portfolio at +19.73% against IUSG's +11.91%, a +7.82-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

QCOM +4.25%

DIVIDEND

Handset and RF chips led the semiconductor rebound as Skyworks and Qorvo rose on merger progress; StoneX reiterated a Buy with a \$270 target on the data-center build-out.

DGX +3.95%

DIVIDEND

Extended Monday's Morgan Stanley conference update, where management lifted 2026 revenue-growth guidance to 8.3–9.2%; the shares set a fresh 52-week high as investors sought defensives.

DECLINERS

HUT -4.43%

GROWTH

Bitcoin fell about 4% after the Senate's CLARITY Act cloture vote failed; the miners sold with the coin a day after the compute-lease repricing.

ATAT -3.57%

GROWTH

No company-specific news; the ADR closed within 2% of its 52-week low.

HOOD -3.39%

GROWTH

Crypto-trading exposure repriced on the failed CLARITY Act vote even as Cantor Fitzgerald reiterated a Buy on the prediction-markets business.

CVX +2.62%

GROWTH

Brent rose toward \$109 with Saudi Arabia's East-West pipeline still shut; the shares set a new 52-week high.

NTR +2.31%

DIVIDEND

Rose with agricultural inputs as energy costs climbed; no company-specific announcement.

AMD +2.19%

GROWTH

Piper Sandler reiterated an Overweight rating and \$600 target after pre-quiet-period meetings; chips recovered a portion of Monday's drawdown.

SOFI -3.29%

GROWTH

Fell with the fintech and crypto-adjacent cohort after the Senate vote; no company-specific news.

OKE -2.32%

GROWTH

Priced the cash tender offers for its outstanding notes; the shares slipped despite firmer crude as the 10-year held above 5%.

HOLDINGS NEWS

Quest Diagnostics raises the full-year bar. At the Morgan Stanley Global Healthcare Conference on Monday, management said the business entered the second half with broad-based momentum and lifted 2026 revenue-growth guidance to 8.3–9.2%, citing physician-channel utilization, higher revenue per requisition, and a fast-growing

consumer business that now includes a lab-test panel sold through Apple Health. Management also flagged slower growth ahead from health-exchange disenrollments and the lapping of new partnerships. The shares closed at \$247.29, up 3.95%, after trading to a 52-week high of \$248.65.

AMD: a reiteration and a RISC-V demonstration. Piper Sandler reaffirmed its Overweight rating and \$600 price target following the company’s pre-quiet-period discussions with investors ahead of third-quarter results. Separately, SiFive and AMD showed AMD’s ROCm software stack running an open-weight language model on SiFive’s

RISC-V datacenter development platform at the AI Infra Summit, with Radeon AI PRO GPUs handling inference — a demonstration-only system, but one that widens the set of CPU hosts ROCm can pair with. The shares closed at \$504.20, up 2.19%.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.97%

vs DVY +15.61% / SPY +11.66%

Spread vs DVY +3.36 pts

GROWTH PORTFOLIO

+19.73%

vs IUSG +11.91%

Spread vs IUSG +7.82 pts